

Booking Holdings – Can AI & the Connected Trip Sustain Growth?

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Key Insights

- AI poses minimal near-term disintermediation risk to online travel agencies. Real structural advantage lies in online travel agencies' existing payment infrastructure, local currency handling and supplier connectivity built over decades
- Booking.com's direct traffic in the US has reached high-50s to mid-60s percentage, driven by Genius loyalty programme members at levels 2 and 3 generating over 60% of room nights
- On the connected trip growth trajectory – low-double-digit penetration today could reach the 20s percentage by 2027, but achieving 50% of transactions would realistically take closer to 10 years
- APAC represents Booking Holdings' fastest-growing region at mid-to-high-teens growth, while North America tracks high-single-to-low-double digits and Europe remains a market-share-defence story
- Expert believes Booking's B2B platform will become fully competitive with Expedia within 2-3 years, unlocking a significant additional growth lever that could sustain high-single-digit revenue growth beyond current drivers

Expert

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Moderator

Albie Amankona (AA), Third Bridge Sector Analyst

Agenda

- Outlook for room nights, gross bookings and travel demand
- Booking.com's (NASDAQ: BKNG) progress in flights, attractions and the connected trip strategy
- Potential impact of AI on search, conversion and customer service
- Outlook for margins, marketing spending and competition with Airbnb (NASDAQ: ABNB) and Expedia (NASDAQ: EXPE)

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Transcription begins at 00:00:01 of the recorded material

AA: Good morning and a very warm welcome to Third Bridge's Interview entitled Booking Holdings – Can AI & the Connected Trip Sustain Growth? My name is Albie Amankona, and as always, it's a pleasure to be facilitating today's Interview, and it's also great to have Jeff Varhol joining us. He is the former Director for Commercial Excellence for the Americas at Booking.com. Jeff, welcome. Great to have you with us today.

JV: Thank you. Glad to be here.

AA: Just before we get started, Jeff, please could you just state either I agree or I disagree to the following statement and as always, that statement is that: You understand the definition of material non-public information and agree not to disclose any such information, or any other information which is confidential, during the Interview today.

JV: I agree.

AA: Could you give us a brief insight into a your own background and experience to date?

JV: I have spent over 20 years in the online travel space, working at numerous OTAs, Travelocity, Orbitz and Booking most recently. I've also worked at Tripadvisor and been on the supply side with a short-term rental company. I have worked in all of the travel verticals with the exception of cruise, again, most recently focused on the accommodation space for the Americas on the commercial side. My experience also includes a lot of work on the B2B side. I have a pretty deep understanding of what's happening in that space. Again, most recently, the focus was on supporting all elements of the accommodations partnerships at Booking.com, so that's everything from product and feature roll-out and performance to events, strategic projects, marketing and promotional campaigns and even the planning process.

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Q1: What's your take on the OTA [online travel agency] industry, which Booking.com operates in, particularly regarding the risk of AI disintermediation – something many people are either concerned about or excited by? What are your thoughts on the potential risks and rewards of AI for traditional OTAs such as Booking.com?

JV: Yes. I personally don't feel like there is a great risk for disintermediating the OTAs at least in the near-term. I think AI will support the beginning and the end of the travel life cycle and allow for a lot more customisation and personalisation, increased efficiency, reduced costs. We're already seeing that at the top end of the funnel with things like natural language searches and how those are converting better, albeit on a small but growing scale and the ability for different platforms, including the OTAs to provide more personalised responses or more personalised results when travellers are searching. At the end of the life cycle, you've got the customer service side where we've already seen a reduction in cost per transaction, cost per call, a lot of the, let's put an air, quotes, simpler customer-service-type questions or issues are now being handled by AI, which does a couple of things, a, it gives a much faster response and increases customer satisfaction on some of those basic or simpler questions or challenges. Secondly, it allows the actual human agents to more quickly get to the more complicated challenges and so helping customers who have had significant flight delays or have to do something based on geopolitical events or weather or any of the other things that disrupt us. The middle piece of that, so the fulfilment element of that is I think where a lot of people are wondering about the disintermediation piece.

This is where I think the OTAs actually have an existing structural advantage because they have already built out all the

complexities related to things like local payment methods, which are super important in many markets. It's not just entering your credit card, but it's instalments and OXXO Pay in Mexico. It's all the local payment methods across Asia, which there are different ones in every country essentially. It's dealing with foreign-currency exchange. It's dealing with the connectivity to the supplier back-end, so that there are overbookings or incorrect bookings made. There's a lot of complexity in that fulfilment space that the OTAs have done a lot of work on, continue to do a lot of work on, which I think allows them to have a strong position even with AI, certainly for the next 3-5 years, perhaps longer than that.

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Q2: I have even spoken to experts from the OTA industry who take the opposite view. Some of them worry that with the advent of LLMs [large language models] and conversational search, you could simply ask, "Plan a one-week holiday in London for me, find flights from Newark to Heathrow, and book a stay in SW3." An LLM such as ChatGPT or Gemini could easily find everything you need, allowing you to book directly on the hotel and airline websites. Do you not see that as a risk?

JV: I certainly think that there will be trips that where that will make sense. I think actually, it's the metasearch sites that I think are more at risk and even potentially some of the business travel sites because those are things where you don't have as emotional connection, both in terms of digging into and trying to get excited about a trip, understanding where you're staying, what's close by, what you're going to be able to do. There's a very emotional element to leisure travel. Now that doesn't mean that I don't think AI will be able to do that, but I think AI is very risky because what happens when that trip goes wrong, and where somebody like an OTA can help you with all elements of a trip, if you book it through AI and end up on with transactions through six different sites, that means you're going to have to manage that yourself. I think the first time that something goes wrong is where the AI platforms will really suffer, so do I think they can do it? Sure. Do I think people trust it? Not yet, partially because we're seeing stories about this every day where people are using AI to do searches and they're getting recommendations about beaches that don't exist because they saw, you know, it's the name of a beach that was in a movie, not that it really exists, and so they're calling it slop travel right now because that's still happening.

Now the systems will learn, the platforms will learn what's real and what's not over time, so that should increasingly get better and better. You still have that trust factor and you still have that, "How do I handle a disruption, and what does that mean to me?" If the service can't help you when you have a disruption that means you're not going to make it to your sister's wedding. That's something that travellers don't tend to forget. Since there are essentially no switching costs at this point, I still think that travellers are going to err on the side of brands and platforms that have been there and done that and can help them if something goes wrong.

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Q3: Do you think a certain proportion of trips – whether flight or hotel bookings – is at risk of shifting from Booking.com to an AI challenger or an LLM? Or is that proportion simply comparable to the normal churn of users switching from Booking.com to Expedia, Tripadvisor and so on?

JV: You've got to understand that there have always been those folks that use the OTAs as a shopping site and then go book directly that is not going to change. Will AI make that a larger proportion? Possibly, but that's why you see the OTAs investing in things like more loyalty programmes and benefits. Booking.com is heavily investing in their connected trip, which allows you, (a) to book multiple components at the same time, (b) allows those components to be serviced in one outreach vs contacting the hotel and the airline and the car rental and your experiences. Those folks already exist, and that's something that the OTAs just understand, but they're constantly looking for, "How do I mitigate against those types of things?" It's some of these other steps that they're taking to try and create loyalty, benefit, return customers, lifetime customer value. I don't know that those numbers will change dramatically. I think you'll see a shift from where

those customers came from. As opposed to the Google search people being X percent, now you'll have the Google search people plus the AI people becoming maybe X plus Y percent, but there will still be a lot of folks that are booking direct. Booking.com in the US is now seeing high 50s to mid-60s direct transactions. I don't think AI is going to change that.

AA: When you say high 50s to high-to-mid-60s direct transactions, what does that mean?

JV: Coming directly to their site.

AA: What happens with the other 45%?

JV: Yes. Those folks, they're coming to the site through Google searches. A small percentage are coming through AI searches now through social and then also through their B2B partnerships. There's a lot of different funnels feeding into the site. Obviously, Booking would like everybody to come direct because then you don't have to pay for search or other customer acquisition costs. They have seen their direct bookings grow every quarter, I think, certainly in the last four or five in the US, which is a focus market for them. Globally, it's been consistently high 50s to low 60s, so even with the advent of all of these other channels, social has grown a lot in terms of customer acquisition. AI is a small base but growing, obviously. They've been able to maintain their percentages of direct bookers because of things like their loyalty programme. Their Genius Level 2 and Level 3 members are driving high 50s to low 60s percent of their room nights. That's been growing. I think it's up about 5pp YoY. Obviously, the investment that they're making in bringing that traffic directly is paying off.

AA: Would you expect those direct traffic rates you just quoted – in the high 50s globally and mid-to-low 60s in the US – to remain at those levels over the next 12-24 months? Is that level of direct traffic sustainable over that timeframe?

JV: I believe so, yes. I think that the investment that they're making in their internal use of things like natural language search, both in their app and on their website, they're trying to meet the travellers where they want to be and use the tools that they want to use while still enabling those things through a direct approach, and so I do think that they can maintain those levels.

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Q4: How important is maintaining the aforementioned traffic levels to reaching the 2026 guidance – namely, high-single-digit revenue growth, high-single- to low-double-digit gross booking growth and adjusted EBITDA growing slightly faster than revenue, perhaps in the low-double digits? Overall, how critical is that direct traffic to achieving these goals?

JV: It's certainly important. The other thing that they have found is that direct traffic tends to convert better. It tends to cancel less. It tends to be customers who will then come back and book again in the future. There's a lot of value in keeping those numbers high. They are investing in, "How do we keep those folks coming in through product investments through a lot of the brand work that they've done in the US over the past 3-5 years," is really starting to pay off. They are taking share in the domestic market, which is some place that they were always significantly behind Expedia and some others. The fact that they are now much more a known brand in the US is playing out in what we're seeing in terms of the US growth, in terms of the growth in the domestic side of the business. They've always been good on the international side. I think that, it's very important, and they realise that, and that's why you're seeing some of the investment in things that will lead to continued strong direct traffic.

Another one to mention is the co-branded credit card they rolled out in the US last year, which actually has a lot of benefits and is a pretty good card, especially for a no-fee card. Again, how do I build more loyalty with these travellers, so that it's not just a one-time booking, but I'm getting a larger share of wallet and have a strong lifetime value.

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Q5: Do you think the 2026 guidance that Booking.com has set is achievable?

JV: I do, especially given the gains that they've seen in the US. Asia is a little bit of a harder nut to crack because there is so much uniqueness in the regions. One, Vietnam is very different than India is very different than Japan, but you also have a strong brand there in Agoda, who has a lot of local experience. They're investing in things like traditional supply like ryokans in Japan. They're investing in local payment methods. I think that number is very achievable. Europe, I think, is going to remain a little bit of a defending their position as opposed to being a strong growth trajectory, especially while there's challenges in the Middle East. To me, that's the one question mark out there in terms of them hitting guidance is how long does that carry on and how much does that impact the European market, so far, most of the travellers seem to be adjusting where they're going or how they're getting there as opposed to stopping travelling, but between that and if prices continue to go up, there may be some challenges there. I mean the good news is both Booking and Hilton this week reported that the mid-scale, the mid-tier travel segment seems to have bounced back a little bit and now is growing a little bit YoY as opposed to being flat or down. If that continues, then I absolutely think they'll make guidance.

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Q6: Booking.com's assumption is that the direct and indirect impacts from the Middle East conflict will continue through the end of June 2026, followed by a recovery in bookings in H2 2026. This guidance was reiterated in Q1, but quite a bit of time has passed since then, especially given how the geopolitical instability in the Middle East continues to drag on. There are real concerns that fuel and energy issues could become acute in H2 2026, particularly during winter. If conditions don't improve, what does that mean for the company's guidance?

JV: I think they estimated that the Middle East impact affected them a couple of points in Q1, and a lot of that was driven by what always happens when there's a situation like this where you get a surge in cancellations right away. After that, it's a more conservative approach to travelling to that market. I honestly think that they will make guidance a little bit irregardless of the Middle East situation. I think the economic impact of that is the more important or potentially the more damaging one, if prices continue to go up, if the cost of travel continues to go up, then that mid-scale rebound that we're seeing may slow up a bit. They have seen pretty much everything stabilise with the exception of length of stay, and that's still a little shorter than it's been traditionally. If those things maintain and people just shift where they're travelling, then I don't think there's any concerns about them making guidance. Again, I think if we continue to see prices go up, that's where I think there's more of a question mark.

Now to be fair, Booking isn't as reliant on flights as, for example, Expedia. Flights are a significantly growing portion of Booking and that has turned into a great customer acquisition tool because a lot of those customers booking flights are new to Booking.com and then turn into accommodation bookers, experiences bookers, which is obviously a much higher margin part of the business. I don't think that if airline costs stay high, I don't think that hurts Booking as much as Expedia. I think it has the potential to reduce the overall travel market or slow its growth anyway, and that would potentially create some challenges with making guidance.

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Q7: If flight prices rise due to surging jet fuel costs – driven by a potential energy shock late in 2026 when demand increases for winter heating – how realistic is it that Booking.com can meet its guidance? Sell-side analysts expect revenue growth of nearly 9% in 2026, just over 9% in 2027 and around 8% in 2028. If the Middle East conflict remains prolonged, what does that mean for those projections, as well as the company's ability to maintain its adjusted EBITDA margin in the high 30s or even reach 40%?

JV: Yes. I think that the risk there is on the revenue side, obviously. The other thing that Booking has done a good job of over the past couple of years is really controlling costs. The transformation process that they went through, there's been significant cost savings, not all of which have hit yet, but which will throughout this year. I think from an earnings perspective, I'm feeling pretty confident even if we do see prices rise partially because they are such a strong global

player in... Let's say, prices go up a little bit more. If flights reduce in the US, but people are still taking drive trips, then their growing strength and brand awareness will help them because they will still book accommodations, which is an obviously much higher margin business. In Europe, you still have a lot of people who travel by train, flights aren't as important. Again, with their strength in brand awareness and in inventory on the accommodation side in Europe, they should do very well. They have two strong brands in APAC. This is where I would say having a strong global footprint allows them to better weather some of these things because they can pivot, if you will, let's call it, air quotes pivot, but they can... Their platform is able to pivot to what travellers are looking at now.

One thing, and Glenn says this all the time, but I agree with him, travel is very resilient and people really would still want to travel and you're seeing people shift some of their other spending habits, so that they can still travel. We haven't seen things like a trading down of the luxury segment. I mean, maybe that's an outcome that comes from costs remaining high or costs getting higher. Maybe the people are booking five stars start booking four stars. I feel like those folks are still going to travel, and so there's still going to be transactions made and bookings made. I'm between the strength of the global footprint, their diversification across their product lines, the size of the inventory that they've got, I feel pretty confident that they're going to make guidance this year.

AA: Would you say high-single-digit growth for the foreseeable future is a realistic prospect?

JV: I think so, yes.

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Q8: Industry analysts expect an adjusted EBITDA margin of about 37% for 2026, reaching between 38% and 39% across 2027 and 2028, and hitting 40% in 2029 – though that final projection feels like looking-glass territory. What is your view on the adjusted EBITDA margin, and can it realistically continue to grow by roughly 100bps – 1% – YoY?

JV: Yes. I think that's very, very doable. It's going to depend on some of these macro factors that we've been talking about a little bit. This is where things like the investment that Booking has made in the connected trip and how that has grown YoY. Now it's into the low single, sorry, low double digits in terms of the overall transactions that are made. Basically, that means you're taking somebody who used to book one component and now they're booking multiple components. You've got multiple revenue sources coming from one transaction. You've also got the investment that they're making on the B2B side, so that's a part of the business where they are certainly behind Expedia. Expedia spent a lot of time and investment about five years ago and really building out a platform that was very B2B user-friendly, and they've won a lot of business because of it. Booking's investments that are happening there, I think a lot will allow them to be very, very competitive in the near future. I don't know the exact timelines for when all that stuff is supposed to be done, but in the next 2-3 years, I think they'll be much more on par with Expedia, so a lot of these big B2B deals can bring additional revenue. Then Booking has been very good about cost control.

Even now in the Q1 earnings call, they were slowing some things based on the couple of points that the Middle East was costing them just to be smart about what their spend was. AI is allowing them to do things to continue their mantra of test and learn and do it very quickly. They've got tons of data behind the scenes where that they're using to make decisions, whether it's partnerships with B2B partners or suppliers, whether it's, how do we present search results based on years of historical data, AI is allowing them to move faster internally, which, again, I think will help them continue to grow and achieve some of those EBITDA goals.

AA: What proportion of the connected trips are low-single digits?

JV: Double digits.

AA: Low double digits rather in terms of revenue coming from connected trip. How do you expect that to look in 2026 and 2027? Is that 10-20%, 20% and 30%? What do you mean by low?

JV: Yes. I think this year, if I was going to predict Q4, I would say they'd be in the high teens in terms of a percentage, and I think they will get into the 20s next year. Some of this is the work they're doing internally to build out things like their merchant model because that will allow them then to create things like a dynamic package, if you will. They'll be able to take net pricing from different suppliers, bundle those together, put a mark-up on top of it and then sell multiple components as a package, which is something that Expedia has done very well for many years now and Booking, (a) because they were on the commission model, (b) because they didn't sell all the different travel components until more recently, they're behind in that. My expectation would be they'll get into the 20s in 2027 in terms of overall. Then I think it will depend on how well they can build out some of these behind-the-scenes things. Can they build that dynamic package? What can AI help them with in terms of, "When do I push for a cross-sell or an upsell and when do I just take the transaction?" I think there's a lot of learning that's going to happen as well. I do see a lot of upside in that particular line of business.

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Q9: Booking.com reported that connected transactions grew in the high 20s YoY in FY25. Is that level of growth sustainable, and how long will it take before it starts to flatten out as it reaches the slower-growth region of the S-curve?

JV: I think high 20% is going to be aggressive as that number moves up. I think you're going to see that kind of decrease in terms of the rate of growth, you're going to see that decrease probably starting this year. I think that there are specific regions, and this is where their global footprint adds a lot of value. There are specific regions where those numbers will continue to grow at that aggressive rate. In my experience, there are lots of markets where people are looking for those types of dynamic package and savings. Urban markets where hotel costs can be very high, you can get a pretty significant savings if you book a dynamic package. I think regionally, there's going to be a lot of opportunities. I think globally, high 20s would be very aggressive. I think in some regions, you can see that pace continue for a few more years.

AA: In which regions do you think that can continue for a few more years?

JV: I think APAC is probably where that has the most growth potential, and knowing that Asia is the fastest-growing travel region, those two things dovetail nicely, and you could see those numbers continue to be really strong.

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Q10: In terms of the connected trip share – the proportion of transactions that are connected vs non-connected – where do you see that peaking or starting to plateau? Could connected trips account for more than 50% of total transactions, or do you think the share will top out around 30-35%? Could it go much higher, perhaps reaching 80% or 90%? What would you say is the ultimate vision or goal here? I imagine reaching over 50% would drive a structural shift in Booking.com's EBITDA margin.

JV: Yes. First of all, I think 50% would be aggressive in my perspective. You have to remember that there are a lot of trips where you don't need multiple components. You're visiting your family and friends, you don't need a car, you just need a flight. Any drive trip, you may or may not do multiple components, so part of it is going to be what can they smartly bundle or upsell over the long run. For example, for the drive market, if you can bundle hotel plus experiences, now you've got a connected trip transaction, even though it doesn't have a flight component. If there are ways, and we've tried this... When I was at Travelocity years ago, we did things like when people booked flights and didn't book accommodations, we assumed that's because they were staying with family or friends, but we still encourage them or planted the seed that, "Hey, a car would be nice, then you're not dependent on somebody else or you don't have to borrow somebody's car," that kind of thing. There's lots of kind of marketing elements to this that if they are able to do some of these things in the right way, I think they can get connected trip close to 50%. Again, that's going to vary a lot by region because there are some places that you're not going to do that. I mean most travellers in New York don't

consider a car, so that's off the table.

I think another key element of this is, "How much do experiences grow in terms of being booked online?" This is some place we've seen all the OTAs investing in pretty heavily. Expedia bought Tiqets, Booking.com who bought FareHarbor years ago, has now integrated all of the FareHarbor content into their site, and experiences is a growing part of why people are travelling and them wanting to book these types of things that are the things that more often you remember from the trip. How well can the OTAs and Booking.com, for example, integrate experiences and get people to book experiences as part of a single transaction. That is where, I'll argue there's a big range there that I just don't know where we're going to get to or maybe when is a better question because if I book just a flight and experiences and a walking tour and a cooking class and a museum ticket, that's a connected trip, and that's something that's driving extra revenue to Booking.com. How well they can manage that side of the business is a big component of how quickly does connected trip grow and how big can it get.

AA: When you say that getting close to 50% of transactions being connected trip transactions is a possibility, within what timeframe could Booking.com get there?

JV: I think that's probably close to 10 years best case. I think it's a ways out.

[00:34:25]

Q11: In Europe and the Middle East – where geopolitical challenges have been more pronounced – could connected trips serve as a way to mitigate that impact? Are all segments affected to the same degree, or are flights seeing the greatest impact?

JV: I mean, I think that connected trip in Europe could be something very beneficial because it's a smaller area, you can do trains, you can drive. You have the potential to use connected trip as a way of shifting demand, and that's what some of what they're trying to do with AI as well is try to help inspire people or have them consider different destinations that maybe they weren't thinking of before. I do think that connected trip can help in that case in Europe. The challenge for them is what do they do with all of the different modes of transportation. They've got car rental. Trains is its own beast, and Omio just bought Rail Europe, and so who knows what that means. I think there's opportunity there. I think you really have to figure out how are you going to address the travel component of it because in Europe, a lot of people don't fly. They take the train, they take the bus. If they are driving, then you need to be sure that you're giving them both the accommodation and the experience side of things because they're not going to have other components to choose from.

[00:36:20]

Q12: When it comes to the European and North American markets, how would you describe Booking.com's CAGR outlook? Based on what you mentioned earlier, it seems you expect North America to grow more quickly than Europe over the next 12-24 months.

JV: Yes. I think if you look at the three main regions, Asia-Pacific will grow the fastest. I think the US will continue to grow, or let's say North America will continue to grow at a strong pace for Booking.com because of their investment because they are now seen as a more comparable option, if you will, to Expedia, and I think Europe is more of a defending their strong position there. If I had to lay them out, APAC will grow fastest than North America/ the US and then Europe, I think...

AA: Are those the growth rates you will keep expecting?

JV: Yes. I would think APAC will be in the teens. I would say North America is high single to low double digits, and then Europe is probably more mid- to high single digits, something like that.

AA: When you say teens, is that low teens, mid-teens or high teens?

JV: Yes. I would say, Asia is hard. It could be as low as 13%, it could be 17% or 18%, I would think, I guess, in that mid- to high range.

AA: How sustainable is that growth in APAC?

JV: That's a great question. Everybody is trying to figure out how long this is going to go and how much growth can you have without having a really strong China presence. Obviously, Trip.com is by far the strongest player in Europe and especially in China. Booking.com certainly is a player in China, but more of their investment are in growing markets like India and Vietnam and Japan is a key focal market. I think that it's sustainable without China for a number of years. Then you've got to figure out how do you have more of a presence with the Chinese traveller, and that one, I think, is a bit harder one to figure out.

[00:39:09]

Q13: What about in North America? Booking.com isn't new to the market, but it isn't the market leader in the same way it is in Europe. How sustainable is its high-single- to low-double-digit growth in North America?

JV: I think there are several years of run rate there, simply because they're not new to the market, but they're new to things like flights and car rentals here, and so those things can drive a lot of transactions, and experiences is very much growing in terms of online transaction, online bookings, and so if they if they do well with experiences, they're already strengthening and have strengthened their short-term rental inventory and their hotel inventory is as good as anybody else's essentially. You got all the pieces in place now, and so now it's more about brand awareness, good customer experience and doing the right things when things happen. I think that's sustainable for a number of years.

[00:40:23]

Q14: When it comes to defending its share in Europe, is there a point where Booking.com's growth essentially flattens out, turning Europe into purely a market share defence play? Is that lower growth rate sustainable for an OTA in Europe for another couple of years?

JV: Yes, I certainly think it's sustainable for many more years, and that's where things like the connected trip. Before they were just getting one component and now they're getting two or three. Those things will help significantly, and then I think what's interesting is if you play out the timeline, connected trip is already growing pretty strong in a couple of years, let's say, 2-3 years, when your B2B platform is now equally competitive with the global leaders, that's another way for you to continue growing in those markets. Expedia, almost all of their growth has been through the B2B platform. Their B2C business has been, it's grown, but not like Booking's, and then you look at some place like APAC, where all of Expedia's growth is in the B2B platform. If Booking can get to a point where they're competing for all of that business, so now you've got another growth lever, which I think gives you another 3-5 years of consistent and sustained growth similar to what the rates that we've been talking about. Yes, I think the way that they're playing the investments out sets them up for sustained growth over the next 5-10 years.

[00:42:10]

Q15: When looking at Booking Holdings' market share relative to Expedia, Trip and Agoda across core regions – acknowledging that none of them operates in every single market – how do you expect that market share to develop over the next 12-24 months in APAC, Europe and North America?

JV: Yes. This is where we had to separate Booking.com from Booking Holdings.

AA: Yes, of course. This is Booking Holdings as a whole.

JV: Yes. I think at the Booking Holdings level that share will continue to grow in APAC. They have a good, I'll call it, a two-headed monster between Agoda and Booking.com, where they're playing to multiple segments of the travel market. I think they'll continue to grow share in the US. I think the investments that they've made over the past couple of years are really starting to pay off, and that's why Q1 was the best quarter. I don't know if it's ever, but certainly in recent memory in terms of growth in the US, so I think they'll continue to take market share there, and in Europe, I think they're probably in more of a, I don't want to say a plateau place, but I think they'll grow with the market. If the market grows by this much, they'll grow by that much, and maybe they'll get a little more share. I think in the short-term, I would expect their share in Europe to be more consistent.

[00:43:52]

Q16: In Q1 2026, the global market share for Booking.com was roughly 30-36%. Would you say that is a reasonable estimate for all of its bookings? Given how difficult global figures can be to interpret, how would you break that down by individual markets?

JV: Yes. Globally, that probably makes sense. I mean, obviously, their largest share is in Europe, which is where they have the strongest position. They are seeing growth across the other two regions. Without having any further insight than that and based on the things that I've read publicly, those numbers feel like they make sense, and we're seeing things like the OTAs overall share of bookings has gone up in APAC and in the Americas over the past year. If that continues to happen, if you continue to get another point or two just the OTAs in general, then Booking is going to get a big percentage of that. I think that probably is that feels like it makes sense on a global basis.

AA: On a market-by-market basis or continent basis, how might that look?

JV: I don't know, I haven't seen any numbers that talks about market share on a regional basis. I'm not sure I can really talk to that.

[00:45:33]

Q17: Do you think Booking.com could increase its global market share from that 36% estimate in Q1 2026 to perhaps 40% by Q1 2027 or Q1 2028? Or do you think 36% is already close to the ceiling?

JV: 36% does feel high to me, but I do think that they can grow it through a couple of things we've already talked about, so the growing the connected trip, growing their B2B business. I think between those things over the next 3-5 years, they could certainly grow their share a little bit more. If they can maintain the direct booking numbers that they see. If they can grow another couple of points there, then yes, I could see them growing their share a little bit. It just feels to me like it would be hard to grow it much more than where it's at now on a global basis. Now having said that, who knows if there's going to be consolidation in the space, I don't know, if they were to acquire somebody who did train ticketing and integrated them into the system, maybe that's another way. I certainly think there are opportunities. I would just say in the current environment, I think that getting much higher than 36% would be a challenge.

[00:47:05]

Q18: What is your view on the current competitive dynamics and rivalries between Airbnb and Expedia? How could competitive pressure from players such as Expedia slow down Booking.com's flight and holiday growth in North America, and how might Airbnb impact its room bookings in other parts of the world?

JV: Yes. It's certainly, Airbnb is a significant competitor, and they've got target countries around the world, Brazil and Japan and Australia, where they're trying to significantly grow their footprint and their market share. I mean the interesting thing with Airbnb right now is they're adding hotels in some markets. They're adding experiences, they're adding luggage services, they're adding meal delivery, so whereas five years ago, all of their emphasis was on their

short-term rental accommodation space. Now their priorities seem to be a little bit more fragmented. Now does that mean that they aren't going to take some share in some of these other markets? I don't know, but using Europe as the example, where Booking has significantly more inventory, more supply in the short-term rental space than Airbnb and they're a much stronger brand. I think right now, they're not concerned about losing share. In the US, that's certainly something where Airbnb is a verb, right? You stay is, I forgot the term is, but whether you booked it on booking or Vrbo, you stayed on Airbnb, right?

AA: Yes.

JV: They have this built-in advantage, if you will, because they created the category a little bit, so could they blunt some of the growth in the US? They could, but I think that the reason you're seeing Airbnb expand into other things, and there's talk about them going into flights is exactly why Booking did what they did because there's... If all you have is accommodations, then you can't do some of these upsell and cross-sell things and you can't appeal to travellers who are taking a trip where they don't need an accommodation. I think in the short term, I don't see any actions there blunting Booking's growth. Expedia seems to be much more focused right now on their B2B business, which is not some place that Booking has historically been super strong in. I don't think that directly impacts their near-term growth perspective. Now over the next 5-10 years, that potentially could happen if Expedia gets to a really good place in B2B and starts reinvesting on the consumer side. I'm sure they are investing, but doing more there, so there certainly, is risk of that happening, but I think in the short term, I don't see either of those players creating significant problems for the Booking's growth trajectory.

[00:50:24]

Q19: How do you think net take rates could evolve over the next 12-4 months? In 2025, they were around 14.5%, slightly up from 2024.

JV: I think AI at the top of the funnel and when do we get to a balance point of people using that vs people going direct vs people doing Google searches, I think that's going to be the key element to take rate because we do see the AI searches converting better. Now granted, again, it's off of a small base, and so we'll see where that levels out at some point. I would say my personal perspective is take rate would improve a little bit over the next 12-24 months. Then we'll have to see what the distribution of traffic looks like at that point.

AA: Industry analysts expect it to decrease very slightly to about 13.6% – a minor drop of 30bps or 0.3pp – and then remain essentially flat going forwards.

JV: Yes.

AA: Why is your view more optimistic than that?

JV: I think their perspective is the early adopters will have already started going down this path, and therefore, they're converting better, and so you're using up the people that are going to drive those numbers to be better. I think my personal opinion on why this will get a little bit better is, I think that we're still early in understanding how this all plays out. We're still learning how things like the proprietary data that the OTAs like Booking.com has 30 years of booking data, so how well can they use that to take somebody who is doing a natural language search or coming to their site for the first time and providing them with something that makes sense to them, and so as opposed to having to filter on a bunch of things and figure out a hotel that maybe makes sense, all of a sudden, I've got 10 options, all of which would work for me. Now I'm just picking and choosing based on this one has a bigger pool or this one is closer to the beach or whatever. I think that the reason I'm a little more optimistic is I think that we'll continue to see improvement in how the new searches are used and how the underlying data, which is, in my opinion, one of the biggest moats that the OTAs have at this point.

How well they can use that to surface things that make sense and inspire travellers and maybe even get them to cross-sell up because you can share a lot of information about similar travellers. Other families of four did this that and the other thing and maybe something that never occurred to me, all of a sudden, I go, "Oh, yes, I want to do that, and I book

it." I think over the next couple of years, we'll see significant improvement in how they use some of that information, and that's why I think I'm optimistic that we'll see a little bit of an improvement there.

[00:53:56]

Q20: If the connected trip share were to reach nearly 50% at some point in the future, what sort of impact would you say that would have on the take rate?

JV: That's a good question. I would think that would mean, I don't know that it would have a lot of impact on take rate. It may be it may bump it up a little bit because as opposed to 10 searches yielding two transactions, you might have three searches yielding three components or three travel components. I don't know that it would make a whole lot of difference, though, in my opinion.

[00:54:45]

Q21: Is there anything that could have a major impact on take rates, driving them significantly higher than the low-teens range – around 13-14% – currently expected by industry analysts over the next couple of years?

JV: Yes. I actually don't think so. I think when you think about, at least on the leisure side, when you think about leisure travel, there's so much invested in that, both emotionally and travel is not cheap. There's a financial investment. I think people will continue to, I don't want to say, be cautious, but take their time and make a decision that makes sense for them. As such, I think you're going to continue to see them do multiple shops and look at multiple things before making a decision. This is why I don't think AI will replace OTAs as a booking engine for any time in the near future because I don't want it to just pick one for me and be done. I want to look at the pictures. I want to look at, compare it to the property next door. I want to compare it to a condo that I can rent down the street. When I think about it from a leisure traveller perspective, those things will still be true, and therefore, I don't see, I don't think there's something out there right now that would make a huge difference.

[00:56:19]

Q22: Net take rates were higher before the pandemic, at around 15-16%. Why couldn't they return to those previous levels?

JV: I don't know that they never will. I think that there's more happening now where people are slightly more cautious, which is why you've seen the advanced booking window shrink pretty dramatically from 10 years ago. I think people are just taking a little bit more time, and even what you're seeing is some people are booking very far in advance and the rest of the people are booking very short and with a short advanced purchase window. I think that's going to continue for a while, especially while prices are high, especially while there's concerns about geopolitical things, I think those elements are going to stick with us for at least a few years. If we get to a point where all of a sudden travel becomes cheaper again, because I do think cost is a big part of this, then potentially you could see those take rates bump up, but I don't think that's going to happen in the near future.

[00:57:53]

Q23: What would you say are the biggest challenges facing Booking.com over the next 12-24 months?

JV: I think first is delivering on the elements of the connected trip and especially, on the customer experience side. Obviously, the number of transactions is growing, but it's still relatively low and they haven't talked about this, but the thing that I wonder about is how well is the customer experience happening for the folks who book those when something goes wrong, and because now you've got four different things that you're going to need Booking.com to help you manage, for example. I think that's a challenge, and I'm sure they're working on all kinds of ways AI can help

them figure some of those things out. I do think that the B2B marketplace is a challenge for them. I think one of the, just in general threats to the OTAs is potentially coming from somebody you don't think of as an OTA today or as a travel supplier. If Uber ends up being a true super app and has every element of the trip available somehow through their site, maybe that's a challenge within the market. For years, we've been talking about is Amazon going to do something in travel? I personally think if they were going to, they would have already. Maybe the challenge is more from somebody like a Citibank or a Chase or somebody like that who has millions upon millions of global customers and are being more aggressive in the travel space.

I think there are challenges in the B2B space, and so this has always been a bit of a conundrum for OTAs. Do I go empower somebody who's potentially a competitor like Chase or do I let my competitors do it? I'm missing out on a lot of revenue if I don't, but I potentially am cannibalising some of my direct business if I do. I think that's where there's more of a threat to the OTAs is from those third-party travel providers, if you will.

[01:00:23]

Q24: What about Uber Travel? How do you view those types of expansion plays into the travel technology space? From what I can see, it is mostly flight, train and coach bookings, as the company hasn't quite moved into hotels or rooms yet. But could Uber become to flights what Airbnb is to rooms?

JV: I don't know if that's the right comparison, but I certainly think Uber is somebody to pay attention to and certainly could be a threat. The thing that I'm watching for is people know Uber for local services. You need to ride to the airport, you need to ride to wherever Uber, Uber Eats is now enough of a thing that I think people think about it. I don't think Uber is something that comes to mind when people think about travelling, so will Uber be able to expand in that way, or will people be thinking, "Well, Uber is what I do locally. When I'm going to travel, I go to Expedia or I go to Booking.com or I go to whatever other sites I use or I go to the supplier site because I'm a loyalty member." This is the issue Tripadvisor had years ago when they tried to get into the booking business and people went, "No, no, you're a planning site. You're not a booking site," and so that within nine months, they had pulled the plug on that.

I will be curious to see how Uber is able to position it and whether they can convince people that, "No, you can use me for things outside of your home market as well," or if this becomes something where people still use Uber just as rides and Eats, even when you're on travel, you use Uber to get a ride to the airport. You don't necessarily use it to book your flight. I will be curious to see.

AA: Thank you so much for speaking to us. It's been great to chat, and I hope you enjoy the rest of your day. Thank you so much.

Transcription ends at 01:02:39 of the recorded material

If you'd like to speak to Jeff Varhol in a private call or meeting, please let your relationship manager know.

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